

Specimen termsheet — capital protected note

Derivatives 101 teaching document. Generic issuer, illustrative levels, no live trade. Real tickers are used only as familiar reference instruments.

INDICATIVE TERMSHEET

Capital Protection Note with Barrier on XAU/USD

SSPA / EUSIPA classification: Capital Protection Note with Barrier (1130) ¹

Bull • Continuous barrier observation (120%) • 90% strike • 100% participation • Cash settlement

Offered only to professional and institutional clients.

Indicative terms, subject to change until the Initial Fixing Date. Advertising material — not a prospectus and not a key information document. Not a collective investment scheme. Investors are exposed to the credit risk of the Issuer.

Terms

Issuer	[Issuing bank]	Issue Price	100.00% per Product
Security number / ISIN	not allocated — specimen	Issue Currency	USD
Issue Size	USD 2,000,000	Participation ⁴	100.00%
Denomination	USD 1,000	Tenor	18 months
Initial Fixing Date	15 January 2027 — the Initial Level, Strike and Barrier are fixed		
Issue / Payment Date	29 January 2027		
Final Fixing Date	14 July 2028		
Final Redemption Date	28 July 2028		

Underlying

Spot Exchange Rate USD per XAU (XAUUSD <CRNCY>)

Initial Level	4,000.00 USD per XAU	Valuation Time ⁶	09:30 New York time
Strike	3,600.00 (90%) ⁴	Rebate ⁸	0%
Barrier ⁵	4,800.00 (120%)	Minimum Coupon	0%

Redemption

Protected Redemption Amount ²	97.50% of the Denomination ³
Final Redemption Amount	The Protected Redemption Amount, paid on the Final Redemption Date.
Payout Amount	If no Barrier Event has occurred, the Denomination multiplied by the Participation and by the positive performance of the Underlying measured from the Strike. If a Barrier Event has occurred, the Denomination multiplied by the Rebate.
Barrier Event	If the Level at any time, observed continuously, on any Barrier Observation Date is at or above the Barrier.
Settlement Type	Cash settlement ⁷

What to look at, and why

- Capital protection is a family, not a guarantee.** The code tells you a floor exists. It tells you nothing about who is standing behind it.
- The Protected Redemption Amount is the number that matters** — and it is not always 100%. Here 97.50% of the Denomination is protected, so the client can lose 2.5% before any market view is expressed.
- Protection applies at maturity only.** Before then the note trades at bond floor plus option value and will fall when rates rise. Selling early can crystallise a loss despite the word 'protected'.
- Participation runs from the Strike, not from the Initial Level.** A strike below initial means the client participates from a lower base — which is worth real money and is easy to misread.
- The Barrier here caps the upside.** On a capital protected note an up-and-out barrier removes the participation and leaves the floor plus a rebate. It is not a downside trigger.
- For FX the Valuation Time is a named time in a named city**, not simply 'the close'. Time zones are contractual.
- Cash settlement.** There is nothing to deliver — the underlying is a rate, not an asset — which removes the whole physical-settlement operational tail.
- The rebate is the consolation payment** if the barrier is touched. Zero is common, and a zero rebate is worth stating out loud to a client.
- Compare against the issuer's own senior bond** over the same term. That, not cash, is the benchmark this product has to beat.

Redemption scenarios (indicative)

Final Level 3,200 (80%)	975.00 per 1,000 — the floor, less nothing else
Final Level 4,000 (100%)	975.00 + 111.11 = 1,086.11
Final Level 4,600 (115%)	975.00 + 277.78 = 1,252.78
Barrier touched at any time	975.00 — the participation is gone, whatever the Final Level

The comparison to make. Over the same 18 months the issuer's own senior bond pays a known coupon with no market risk at all. 🕒 This note pays nothing unless gold rises above the strike, and caps out if gold rises too far. The client is buying a shape, and paying for it in forgone certain interest.

Specimen prepared for training. Levels are illustrative and rounded; no issuer, security number or live pricing is represented. Not an offer and not advice.